the purchase of these apps in India. So, Sharma started Paytm (an acronym for 'Pay through mobile') in 2010 and began to make his mark.

"Paytm, in some senses, brought digital payments to India," says Kunal Nandwani, co-founder and CEO of uTrade Solutions, a fintech company. "They taught us how to use the Paytm QR code over the years. Until 2016, Paytm was valuable, since they had a merchant network. Funded by venture capitalists, they were not charging anything for a while. They were building habits." Those who knew Sharma back then recall that, as a startup entrepreneur, he was very energetic, well-informed and always on top of all numbers and decisions. "He would always do his homework before turning up for meetings even if it was beyond his expertise, such as leasing new office space," says a former employee from the administrative team that helped Paytm set up office complexes.

Others recall how Sharma had a great talent for understanding user psychology and building products. In office, Sharma had Bose speakers at his workstation and often played favourite English rock bands that included Pink Floyd and U2. He was also a very sharp negotiator and, as Nilesh Singh, former vice-president of HR at One97 Communications, recalls, he was extremely observant and had the knack for picking the most important point in a conversation. "He would quickly do all the calculations in his head and ask all the right questions," Singh tells INDIA TODAY.

In 2015, Sharma launched Paytm QR code, movie tickets and bill payments. But it was in November 2016, when the Modi government demonetised large-denomination currency overnight, that opportunity fell into Sharma's lap. He came out with full-page advertisements in national dailies thanking PM Modi for "taking the boldest decision in the financial history of independent India". The use of its digital services surged during the period.

It wasn't long before India's quest for digitisation proved to be a double-edged sword. While it helped Sharma scale up volumes initially, the advent of the Unified Payments Interface (UPI) threw the wallet business in jeopardy. Using UPI, a free utility offered on several platforms like Google Pay and PhonePe, customers could make payments directly from their banks to merchants' accounts, or transact person to person in seconds. "The problem with pure play platforms is that you do not have a monopoly," says Barnik Maitra, managing partner at consulting firm Arthur D. Little, India and South Asia. "Paytm would be fighting several well-funded players, including Google Pay, which was expected to come in in 2017-18. The core business would not be structurally very profitable."

Aware of these limitations, Sharma began to diversify rapidly. In 2017, Paytm went on to launch PPB, or the Paytm Payments Bank, and new verticals like

Paytm

EXPENSIVE PLUMMET

Following the RBI scrutiny, Paytm faces tough questions from investors, sending its share prices nosediving to record levels, and eroding investors' wealth



THE PAYTM EMPIRE

PAYMENT SERVICES
- Paytm wallet
- Payment gateway
- Bill payments
- QR codes
- Point-of-sale devices

FINANCIAL SERVICES
- Paytm Payments Bank
- Paytm Gold
- Paytm Money
- FASTag
- Paytm Postpaid
- Credit Card
- Insurance

COMMERCE AND CLOUD SERVICES
- Movie ticketing
- Flight ticketing
- Train ticketing
- Bus ticketing
- Events ticketing
- Mini apps store
- Paytm First Games

PAYTM FINANCIALS (FY23)

REVENUES
₹6,027.7 cr.

EXPENDITURE
₹7,813.3 cr.

NET LOSS
₹1,855.8 cr.

Source: BSEindia.com (Standalone results)